

companies and to investors. Of the 613 SPACs that went public in 2021, more than 70% were, with increasing desperation, still searching for a target in September 2022.²⁴

Many of those, presumably, will be forced to liquidate. Their investors will get their money back, but shareholders in completed mergers were not so fortunate. By September 2022, the average price of SPACs that had raised money in 2020 and 2021 and completed a merger had plummeted to a mere \$5.03.²⁵ Not only had investors lost half their capital on average, but the losses were widely shared—of the hundreds of SPACs that completed a merger since the start of 2020, fewer than 15% were trading at the breakeven price of \$10 a share.²⁶ More than 70 fell to less than \$2.²⁷ Even in relative terms, SPACs significantly underperformed both the Nasdaq and conventional IPOs.²⁸

In contrast to these losses, the sponsors made, on average, more than \$100 million per deal. Even in deals that lost money for public investors, the sponsors typically cleared millions of dollars.²⁹ Wall Street was richly rewarded for enabling the bubble; from the start of 2020 through the third quarter of 2022, underwriters pocketed an estimated \$8 billion in fees.³⁰ In March 2022—that is, after the bubble burst—the SEC belatedly proposed regulatory reforms that would tighten disclosure requirements and make it easier to sue when SPAC

²⁴ SPACInsider; Matthew Goldstein, “SPACS Were All the Rage. Now, Not So Much,” *New York Times*, June 2, 2022.

²⁵ SPACInsider; data as of September 14, 2022. Jay Ritter, longtime IPO expert at University of Florida, calculated, alternatively, that an investor who purchased all 199 SPACs that completed mergers in 2021 had suffered a 63.8% loss by September 14, 2022.

²⁶ SPACInsider. The figures: As of September 14, 2022, 330 SPACs had completed mergers since January 1, 2020, of which 39 were trading above \$10.

²⁷ Bailey Lipschultz, “SPCA Fire Sales Stick Investors with Deeply Discounted Buyouts,” *Bloomberg*, June 9 2022.

²⁸ Klausner, et. al., op. cit., 35.

²⁹ Ibid., 11, 43.

³⁰ Jay Ritter.